China beats growth forecasts, but its property slump weighs on iron ore

China's economy grew faster than expected in the September quarter, helped by exports linked to AI. A deepening property slump is still dragging on demand for steel, and with it Australian iron ore.

WHAT HAPPENED

- GDP rose **4.5% year on year** in Q3, up from 4.3% in Q2 and above the 4.4% forecast. Growth for January to September was 4.6%, within the 4.5–5% official target.
- Industrial output rose 5.5% in September and retail sales rose 1.1%.
- **Real estate investment fell 20.6%** in January to September, and total fixed-asset investment fell 7.2%.
- Iron ore traded at about **US$90.73 a tonne** on Friday. China's CSI 300 share index entered a bear market, down 20% from its June peak.

BY THE NUMBERS

4.5%
China's GDP growth in Q3, year on year

−20.6%
property investment, Jan–Sep

US$90.73/t
iron ore price, Friday 23 Oct

−20%
CSI 300 shares from their June peak

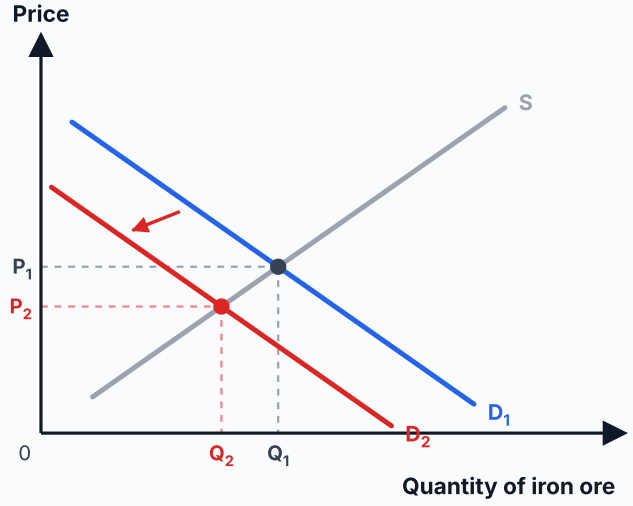
KEY TERMS

Export-led growth: growth driven mainly by selling goods to the rest of the world.

Derived demand: demand for an input (iron ore) that comes from demand for the final product (steel, buildings).

Terms of trade: export prices relative to import prices.

DIAGRAM A property slump cuts demand for iron ore



Steel for apartments and infrastructure is the main use of iron ore. As Chinese property investment falls, demand for iron ore shifts from D_1 to D_2.

The world price falls from P_1 to P_2 and the quantity traded falls from Q_1 to Q_2, even though China's overall GDP growth is solid.

Exam angle: the **composition** of China's growth matters for Australia. Growth led by exports and consumption uses less steel than growth led by construction.

FLOW CHART From Chinese apartments to the Australian budget

Property investment falls → Less construction steel needed → Weaker iron ore demand → Lower prices for Australian miners → **Terms of trade and tax revenue fall**

SYLLABUS LINK
TOPIC 1: economic growth and development in China. It links to **TOPIC 2** (terms of trade and Australia's export markets).

TRY THIS
Explain how changes in the composition of China's economic growth affect Australia's terms of trade. **(4 MARKS)**

Articles: Free Press Journal, 'China GDP growth beats estimates at 4.5% in Jul–Sep quarter', 19 Oct 2026 — https://www.freepressjournal.in/business/china-gdp-growth-beats-estimates-at-45-in-jul-sep-quarter · ABC News, 'ASX edges up at close...' markets blog, 23 Oct 2026 — https://www.abc.net.au/news/2026-10-23/asx-markets-business-news-live-updates-oct-23/107291840